REV2021 Curriculum

1253 — Business Studies

Diploma in Computer Application and Business Management (CABM)

Semester 1 | Credits: 4 | Theory: 60 Hours | Program Core

Download Full Study Notes

Official Source Declaration

This lesson is strictly based on the **SITTTR Kerala REV2021 Syllabus** for Course Code **1253 (Business Studies)**.

- **Authoritative Source:** Official Syllabus PDF (5 Pages).
- **Observation:** In Module 4 of the official PDF, the subtopic code *M4.03* is assigned to two different topics (Insurance terms and Life insurance types). This lesson preserves both topics sequentially.
- **Scope:** Covers all 4 Modules, Course Outcomes (CO1-CO4), and Assessment guidelines.

Course Dashboard

Course Title	Business Studies	**Course Code**	1253
Semester	1	**Credits**	4
Teaching Scheme	L:3, T:1, P:0	**Total Periods**	60 per semester

Course Objectives

- To study about various types of business organisations and their business activities.
- To understand the ways of improving productivity and operational efficiency.

How to Study this Lesson

This lesson is designed as a comprehensive handbook. Follow these steps:

1. **Conceptual Start:** Begin with Module 1 to understand what "Business" actually means.
2. **Legal Framework:** Use Module 2 to learn how a company is legally born.
3. **Operational View:** Study Module 3 for trade procedures (Export/Import).
4. **Risk Management:** Finish with Module 4 to understand how businesses protect themselves via Insurance.
5. **Malayalam Support:** Use the **ml-note** blocks to clarify difficult English technical terms.

Course Outcomes (CO) & Mapping

CO No.	Description	Hours	Cognitive Level
CO1	Rephrase the concept of business, and the framework of business activities and business organisations.	15	Applying
CO2	Outline the factors to be considered for the formation of company.	13	Understanding
CO3	Identify the role of internal and external trade and the documents used in international trade.	15	Applying
CO4	Infer the concept of insurance and different insurance policies undertaken in business arena.	15	Understanding

CO-PO Mapping

(3: Strong, 2: Moderate, 1: Weak)

CO	PO1	PO2	PO3	PO4	PO5	PO6	PO7
CO1	3						
CO2	2					3	
CO3					3		
CO4	2				3		

Syllabus Coverage Map

Module	Focus Area	Key Topics
1	Foundations	Industry, Commerce, Sole Proprietorship, Partnership, Joint Stock Company.
2	Formation	Promotion, Registration, Shares vs Debentures.
3	Trade	Internal/External Trade, Export/Import Procedure, SEZ, Prospectus.
4	Insurance	Principles, Life Insurance, General Insurance (Fire, Marine, etc.).

Learning Roadmap

Phase 1: Identification
Identifying the type of business (Module 1)

↓

Phase 2: Legalization
Registering the entity and raising capital (Module 2)

↓

Phase 3: Operation
Trading locally and internationally (Module 3)

↓

Phase 4: Protection
Managing risks through insurance (Module 4)

Module 1 | 15 Hours | CO1

Business Activities & Organisations

M1.01 - M1.05: Industry, Commerce, and Trade

Characteristics of Business

- Economic activity aimed at earning profit.
- Production or procurement of goods and services.
- Sale or exchange for value.
- Regularity in dealings.
- Element of risk and uncertainty of return.

> **Malayalam support:**
> □□□□□□□□□ □□□□□□ □□□□ □□□□□□□□□□□□ □□□□□□□□□ □□□□□□□□□□
> □□□□□□□□□□□□□□. □□□□ □□□□□□□□□, □□□□□□, □□□□□□ □□□□□□ □□□□□□□□□□□□.

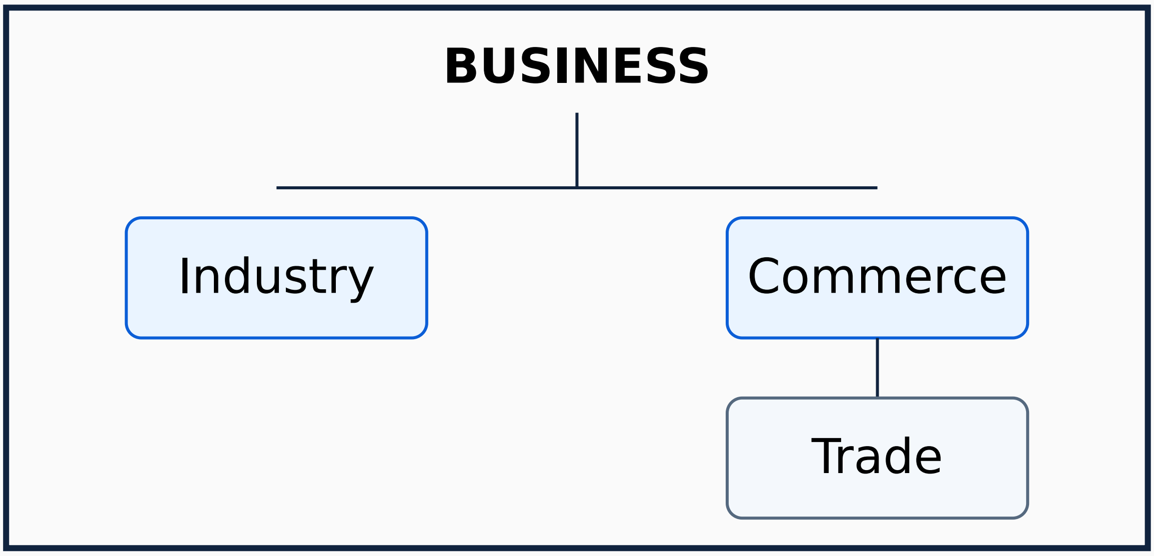
Classification of Industry

1. **Primary Industry:** Extraction of natural resources (e.g., Mining, Agriculture).
2. **Secondary Industry:** Processing materials to produce goods (e.g., Manufacturing, Construction).
3. **Tertiary Industry:** Providing support services (e.g., Transport, Banking).

Commerce and Trade

Commerce includes all activities necessary for the exchange of goods. It bridges the gap between producers and consumers.

Trade is the actual buying and selling of goods. **Hindrances of trade** (Person, Place, Time, Risk, Knowledge, Finance) are removed by commerce (Banking, Insurance, Advertising, etc.).



Basic Structure of Business Activities

M1.06 - M1.11: Forms of Business Organisations

---

1. Sole Proprietorship

Owned, managed, and controlled by a single individual.

- **Advantages:** Quick decision making, direct incentive, secrecy.
- **Disadvantages:** Limited resources, unlimited liability, limited life of business.

2. Partnership

Relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all.

- **Characteristics:** Agreement, Lawful business, Sharing of profit, Mutual Agency.
- **Types of Partners:** Active, Sleeping (Dormant), Secret, Nominal, Partner by Estoppel.

3. Joint Stock Company

An artificial person created by law, having separate legal entity, perpetual succession, and a common seal.

- **Characteristics:** Separate legal entity, Perpetual existence, Limited liability, Transferability of shares.

> **Malayalam support:**
>
> Sole Proprietorship □□□□□□ □□□□ □□□□□□ □□□□□□□□□ □□□□□□□□□□. Partnership □□□□□□ □□□□□ □□□□□□□□□ □□□□□ □□□□□□□ □□□□ □□□□□□□□ □□□□□□□□□ □□□□□□□□□.

Module 2 | 13 Hours | CO2

Formation of Company

M2.01 - M2.04: Stages of Formation

Promotion and Promoter

Promotion is the first stage in the formation of a company. A **Promoter** is a person who conceives the idea of starting a company and takes all necessary steps.

Duties of Promoters:

- Feasibility studies (Technical, Financial, Economic).
- Name approval.
- Fixing up signatories to Memorandum of Association (MOA).

- Appointment of professionals (Bankers, Auditors).
- Preparation of necessary documents.

Registration Documents

1. **Memorandum of Association (MOA):** Defines the objects and powers of the company.
2. **Articles of Association (AOA):** Rules for internal management.
3. **Consent of Proposed Directors.**
4. **Statutory Declaration.**

Certificates

- **Certificate of Incorporation:** The "Birth Certificate" of the company.
- **Certificate of Commencement of Business:** Required by public companies to start operations.

M2.05 - M2.07: Capital Structure (Shares & Debentures)

Comparison: Shares vs Debentures

Feature	Shares	Debentures
Status	Owners of the company.	Creditors of the company.
Return	Dividend (variable).	Interest (fixed).
Voting Rights	Have voting rights.	No voting rights.
Risk	High risk.	Low risk (secured).

Malayalam support:

Shares (□□□□□□□) □□□□□□□□□□□□□□□□□ □□□□□□□□□□□□□□□□□□. Debentures (□□□□□□□□□□□□□□) □□□□□□□ □□□□□□□□□□□ □□□□□□□ □□□□□□□□□□□□□□□□□□□.

Trade & Documentation

M3.01 - M3.05: Internal and External Trade

Internal Trade (Home Trade)

Buying and selling of goods within the boundaries of a nation. Payment is in home currency.

- **Wholesale Trade:** Buying in bulk from producers and selling to retailers.
- **Retail Trade:** Selling goods directly to ultimate consumers.

External Trade (Foreign Trade)

Trade between two or more nations.

- **Export:** Selling goods to a foreign country.
- **Import:** Buying goods from a foreign country.
- **Entrepot:** Importing goods for the purpose of re-exporting.

M3.06 - M3.10: Procedures and Documents

Export Procedure (Summary)

1. Receipt of enquiry and sending quotation.
2. Receipt of order (Indents).
3. Assessing creditworthiness (Letter of Credit).
4. Obtaining export license.
5. Production/Procurement of goods.
6. Pre-shipment inspection.
7. Excise clearance and obtaining Certificate of Origin.
8. Reservation of shipping space and dispatch to port.

Important Concepts

- **SEZ (Special Economic Zone):** Specifically delineated duty-free enclaves deemed to be foreign territory for trade operations and duties.

- **Prospectus:** A document inviting offers from the public for the subscription of securities.
- **Red Herring Prospectus:** A preliminary prospectus which does not include complete particulars of the price or quantum of securities.

Module 4 | 15 Hours | CO4

Insurance

M4.01 - M4.03: Principles and Terms

Principles of Insurance

1. **Utmost Good Faith (Uberrimae Fidei):** Full disclosure of all material facts.
2. **Insurable Interest:** The insured must have a financial interest in the subject matter.
3. **Indemnity:** Putting the insured back in the same financial position as before the loss.
4. **Proximate Cause (Causa Proxima):** The direct or immediate cause of loss.
5. **Subrogation:** Transfer of rights of the insured to the insurer after settlement.
6. **Contribution:** Right of an insurer to call upon other insurers to share the loss.
7. **Mitigation:** Duty of the insured to minimize loss.

> **Malayalam support:**
>
> [illegible] [illegible] [illegible] [illegible] [illegible] [illegible]. [illegible] [illegible] '[illegible]' (Good Faith), '[illegible]' (Indemnity) [illegible] [illegible] [illegible].

Key Terms

- **Double Insurance:** Insuring the same risk with two or more insurers.

- **Re-insurance:** When an insurer insures a part of the risk with another insurer.
- **Surrender Value:** The amount payable by the insurance company if the policyholder decides to stop the policy before maturity.

M4.04 - M4.06: Types of Insurance

Life Insurance vs General Insurance

Life insurance is a contract of *assurance* (event is certain), while General insurance is a contract of *indemnity* (event is uncertain).

Types of Life Policies

- **Whole Life Policy:** Premium paid throughout life; sum paid only after death.
- **Endowment Policy:** Sum paid after a fixed period or death, whichever is earlier.
- **Annuity:** Regular payments (pension) after a certain age.

Types of General Insurance

- **Fire Insurance:** Protection against loss by fire.
- **Marine Insurance:** Protection against perils of the sea (Hull, Cargo, Freight).
- **Motor Vehicle Insurance:** Mandatory for vehicles.
- **Health Insurance:** Covers medical expenses.
- **Burglary Insurance:** Protection against theft.

Official Activities & Case Studies

Case Study: Formation of a Sole Trader vs Partnership

Students are required to analyze the formation process of a local small business (Sole Trader) and compare it with a professional Partnership firm. Focus on:

- Capital contribution methods.
- Decision-making speed.
- Liability handling during business loss.

Procedure & Formula Bank

Export Documentation Flow

Indent → Letter of Credit → Shipping Bill → Bill of Lading

Insurance Principle: Indemnity

Compensation = Actual Loss (Max up to Sum Insured)

Visual Library

Refer to the following diagrams in the text:

- Business Classification SVG - Shows Industry vs Commerce.
- Shares vs Debentures Table - Comparison of capital sources.

Assessment Methodology

Assessment Type	Details
CIE (Internal)	Series Tests (2-3), Assignments, Attendance.
ESE (External)	End Semester Examination (Theory).
Series Exams	Scheduled at M2.07 and M4.06 (as per outline).

Module-wise Questions & Answers

Module 1

What are the primary differences between Industry and Commerce?

Industry is concerned with the production of goods (changing form), while Commerce is concerned with the distribution of goods (changing place/time). Industry creates form utility; Commerce creates place and time utility.

Module 2

Explain the significance of the Certificate of Incorporation.

It is the legal evidence of a company's existence. Once issued, the company becomes a separate legal entity, regardless of any flaws in the registration process.

Module 3

What is a Letter of Credit (L/C)?

It is a guarantee issued by the importer's bank to the exporter, ensuring that payment will be made once the shipping documents are presented. It reduces the risk for the exporter.

Module 4

Define the principle of Subrogation.

After the insurer pays the claim for the loss of the subject matter, all rights of ownership of that property pass to the insurer. This prevents the insured from profiting by selling the damaged property.

Practice Model Paper

(Non-official Practice Paper for Study Purposes)

Part A (Short Answer - 2 Marks each)

1. Define 'Entrepot' trade.
2. What is 'Unlimited Liability' in Sole Proprietorship?
3. Name two documents required for company registration.

Part B (Medium Answer - 5 Marks each)

1. Explain the various types of Partners in a Partnership firm.
2. Distinguish between Shares and Debentures.
3. Outline the functions of Commerce.

Part C (Long Answer - 10 Marks each)

1. Explain the fundamental Principles of Insurance with examples.
2. Describe the detailed procedure involved in Export Trade.

Quick Revision

Key Points

- Business = Industry + Commerce.
- Company = Artificial Person + Perpetual Succession.
- Internal Trade = Wholesale + Retail.
- Insurance = Risk Management.

Exam Checklist

- [ ] Principles of Insurance
- [ ] MOA vs AOA
- [ ] Export Procedure
- [ ] Types of Partners

Glossary

Perpetual Succession
: The continuous existence of a company regardless of changes in ownership or death of members.

Indemnity
: Security or protection against a loss or other financial burden.

Prospectus
: An invitation to the public to buy shares or debentures.

SEZ
: Special Economic Zone for promoting exports.

Official References

- R1: Poonam Gandhi, *Business Studies*, VK Global Publications, 2020.
- R2: Sandeep Garg, *Business Studies*, Dhanpat Rai Publications, 2020.
- R3: M.C. Shukla, *Business Organisation and Management*, S. Chand Publications, 18/e.
- Online: NIOS Business Studies Materials